LIVE

Learning Space

NEWSPAPER

08th OCTOBER, 2018

ITEM WISE EDITORIALS

41st WEEK

CHINA … UNIQUE EXPLOITATION MODEL OF DEBT

UPSC CSE – GS II

GS II … International Relations

Learning Space

LIVE

THE HINDU

NEWSPAPER
EDITORIALS
... DISCUSSION

8th OCTOBER, 2018

2

Eyes on India

Japan, South Korea, Taiwan and Australia have unveiled strategies to forge closer economic ties with India

DHRUVA JAISHANKAR

Asia is in a state of flux. China's Belt and Road Initiative is reshaping the region's geography, with roads and railways traversing Eurasia and new ports dotting the Indian Ocean basin. Beijing's militarisation of the South China Sea continues, despite negotiations towards a code of conduct.

Japan has found itself in an unexpected leadership position, resuscitating the Trans-Pacific Partnership and concluding a trade agreement with the European Union. Tokyo is now contemplating constitutional revisions that would enable it to play a more overt military role.

Amid these unfolding events, another series of developments risks being overshadowed. Japan, South Korea, Taiwan, and Australia have all unveiled strategies to diversify their economic interdependence, away from mainland China and towards Southeast Asia and India.

The motivations appear to be manifold. The most recent is the ongoing trade and tariff war between the U.S. and China. A longer-term concern is Beijing's use of its economic muscle for political purposes, whether in suspending rare earth metal exports to Japan in 2010 or punishing a major South Korean corporation for Seoul's decision to install a missile defence system in 2017. China's limited market growth potential and questions of access and reciprocity are additional considerations.

To this end, Japan's Free and Open Indo-Pacific strategy is meant to diversify investments to more promising markets in Southeast Asia, India, and Africa. For his part, South Korean President Moon Jae-in has unveiled a New Southern Policy. Mr. Moon said during his visit to New Delhi that while the policy is focussed on Southeast Asia, it also "makes India Korea's key partner for cooperation". Similarly, Taiwan, a G20-sized economy whose political status is disputed, has announced a New Southbound Policy with significant accompanying investments in India by Taiwanese electronics manufacturers.

Finally, Australia's government has commissioned an ambitious India Economic Strategy with the goal of making India its third-largest investment destination and export destination by 2035. While not driven by short-term necessities, political concerns are increasingly informing economic preferences.

Politically, therefore, the stars are aligning in Asia for the acceleration of India's economic growth. Investors, increasingly backed by their governments, are increasingly focussed on the Indian market. But with more protectionist sentiments taking root, a legacy of poorly-negotiated trade deals, a general election around the corner, and uneven economic liberalisation, the likelihood of India taking full advantage of these opportunities remains slim.

THE HINDU

INDIA'S NATIONAL NEWSPAPER SINCE 1878

5th October, 2018

The backlash against China is growing

BRAHMA CHELLANEY

On a recent official visit to China, Malaysian Prime Minister Mahathir Mohamad criticized his host country's use of major infrastructure projects—and difficult-to-repay loans—to assert its influence over smaller countries. While Mahathir's warnings in Beijing against "a new version of colonialism" stood out for their boldness, they reflect a broader pushback against China's mercantilist trade, investment, and lending practices.

Since 2013, under the umbrella of its "Belt and Road Initiative", China has been funding and implementing large infrastructure projects in countries around the world, in order to help align their interests with its own, gain a political foothold in strategic locations, and export its industrial surpluses. By keeping bidding on BRI projects closed and opaque, China often massively inflates their value, leaving countries struggling to repay their debts.

Once countries become ensnared in China's debt traps, they can end up being forced into even worse deals to compensate their creditor for lack of repayment. Most notably, last December, Sri Lanka was compelled to transfer the Chinese-built strategic port of Hambantota to China on a 99-year, colonial-style lease, because it could longer afford its debt payments.

Sri Lanka's experience was a wake-up call for other countries with outsize debts to China. Fearing that they, too, could lose strategic assets, they are now attempting to scrap, scale back, or renegotiate their deals. Mahathir, who previously cleared the way for Chinese investment in Malaysia, ended his trip to Beijing by canceling Chinese projects worth almost $23 billion.

Countries as diverse as Bangladesh, Hungary, and Tanzania have also canceled or scaled back BRI projects. Myanmar, hoping to secure needed infrastructure without becoming caught up in a Chinese debt trap, has used the threat of cancellation to negotiate a reduction in the cost of its planned Kyaukpyu port from $7.3 billion to $1.3 billion.

Even China's closest partners are now wary of the BRI. In Pakistan, which has long worked with China to contain India and is the largest recipient of BRI financing, the new government has sought to review or renegotiate projects in response to a worsening debt crisis. In Cambodia, fears of effectively becoming a Chinese colony are on the rise.

The backlash against China can be seen elsewhere, too. The recent annual Pacific Islands Forum meeting was one of the most contentious in its history. Chinese policies in the region, together with the Chinese delegation leader's behaviour at the event itself, drove the president of Nauru—the world's smallest republic, with just 11,000 inhabitants—to condemn China's "arrogant" presence in the South Pacific. China cannot, he declared, "dictate things to us."

When it comes to trade, US President Donald Trump's escalating trade war with China is grabbing headlines, but Trump is far from alone in criticizing China. With policies ranging from export subsidies and non-tariff barriers to intellectual property piracy and tilting the domestic market in favour of Chinese companies, China represents, in the words of Harvard's Graham Allison, the "most protectionist, mercantilist, and predatory major economy in the world."

As the largest merchandise exporter in the world, China is many countries' biggest trading partner. Beijing has leveraged this role by employing trade to punish those that refuse to toe its line, including by imposing import bans on specific products, halting strategic exports (such as rare-earth minerals), cutting off tourism from China, and encouraging domestic consumer boycotts or protests against foreign businesses.

The fact is that China has grown strong and rich by flouting international trade rules. But now its chickens are coming home to roost, with a growing number of countries imposing anti-dumping or punitive duties on Chinese goods. And as countries worry about China bending them to its will by luring them into debt traps, it is no longer smooth sailing for the BRI.

Beyond Trump's tariffs, the European Union has filed a complaint with the World Trade Organization (WTO) about China's practices of forcing technology transfer as a condition of market access. China's export subsidies and other trade-distorting practices are set to encounter greater international resistance. Under WTO rules, countries may impose tariffs on subsidized goods from overseas that harm domestic industries.

Now, Chinese President Xi Jinping finds himself not only defending the BRI, his signature foreign-policy initiative, but also confronting domestic criticism, however muted, for flaunting China's global ambitions and thereby inviting a US-led international backlash.

International trade has afforded China enormous benefits, enabling the country to become the world's second-largest economy, while lifting hundreds of millions of people out of poverty. The country cannot afford to lose those benefits to an international backlash against its unfair trade and investment practices.

China's reliance on large trade surpluses and foreign-exchange reserves to fund the expansion of its global footprint makes it all the more vulnerable to the current pushback. In fact, even if China shifts its strategy and adheres to international rules, its trade surplus and foreign-currency reserves will be affected. In short, whichever path it chooses, China's free ride could be coming to an end.

Brahma Chellaney is professor of strategic studies at the New Delhi-based Centre for Policy Research.

Comments are welcome at views@livemint.com

livemint

5th October, 2018

2 Eyes on India

Japan, South Korea, Taiwan and Australia have unveiled strategies to forge closer economic ties with India

Asia is in a state of flux. China's Belt and Road Initiative is reshaping the region's geography, with roads and railways traversing Eurasia and new ports dotting the Indian Ocean basin. Beijing's militarisation of the South China Sea continues, despite negotiations towards a code of conduct.

Japan has found itself in an unexpected leadership position, resuscitating the Trans-Pacific Partnership and concluding a trade agreement with the European Union. Tokyo is now contemplating constitutional revisions that would enable it to play a more overt military role.

Amid these unfolding events, another series of developments risks being overshadowed. Japan, South Korea, Taiwan, and Australia have all unveiled strategies to diversify their economic interdependence, away from mainland China and towards Southeast Asia and India.

The motivations appear to be manifold. The most recent is the ongoing trade and tariff war between the U.S. and China. A longer-term concern is Beijing's use of its economic muscle for political purposes, whether in suspending rare earth metal exports to Japan in 2010 or punishing a major South Korean corporation for Seoul's decision to install a missile defence system in 2017. China's limited market growth potential and questions of access and reciprocity are additional considerations.

To this end, Japan's Free and Open Indo-Pacific strategy is meant to diversify investments to more promising markets in Southeast Asia, India, and Africa. For his part, South Korean President Moon Jae-in has unveiled a New Southern Policy.

...Contd.

2 Eyes on India

Mr. Moon said during his visit to New Delhi that while the policy is focussed on Southeast Asia, it also “makes India Korea’s key partner for cooperation”. Similarly, Taiwan, a G20-sized economy whose political status is disputed, has announced a New Southbound Policy with significant accompanying investments in India by Taiwanese electronics manufacturers. Finally, Australia’s government has commissioned an ambitious India Economic Strategy with the goal of making India its third-largest investment destination and export destination by 2035. While not driven by short-term necessities, political concerns are increasingly informing economic preferences.

Politically, therefore, the stars are aligning in Asia for the acceleration of India’s economic growth. Investors, increasingly backed by their governments, are increasingly focussed on the Indian market. But with more protectionist sentiments taking root, a legacy of poorly-negotiated trade deals, a general election around the corner, and uneven economic liberalisation, the likelihood of India taking full advantage of these opportunities remains slim.

...Contd.

2 The backlash against China is growing

Mahathir Mahathir's warnings against 'a new version of colonialism' stood out for their boldness, they reflect a broader pushback against China's mercantilist trade, investment, and lending practices.

On a recent official visit to China, Malaysian Prime Minister Mahathir Mohamad criticized his host country's use of major infrastructure projects—and difficult-to-repay loans—to assert its influence over smaller countries. While Mahathir's warnings in Beijing against "a new version of colonialism" stood out for their boldness, they reflect a broader pushback against China's mercantilist trade, investment, and lending practices.

Since 2013, under the umbrella of its "Belt and Road Initiative", China has been funding and implementing large infrastructure projects in countries around the world, in order to help align their interests with its own, gain a political foothold in strategic locations, and export its industrial surpluses. By keeping bidding on BRI projects closed and opaque, China often massively inflates their value, leaving countries struggling to repay their debts.

Once countries become ensnared in China's debt traps, they can end up being forced into even worse deals to compensate their creditor for lack of repayment. Most notably, last December, Sri Lanka was compelled to transfer the Chinese-built strategic port of Hambantota to China on a 99-year, colonial-style lease, because it could longer afford its debt payments.

Sri Lanka's experience was a wake-up call for other countries with outsize debts to China. Fearing that they, too, could lose strategic assets, they are now attempting to scrap, scale back, or renegotiate their deals. Mahathir, who previously cleared the way for Chinese investment in Malaysia, ended his trip to Beijing by canceling Chinese projects worth almost $23 billion.

...Contd.

2 The backlash against China is growing

Countries as diverse as Bangladesh, Hungary, and Tanzania have also canceled or scaled back BRI projects. Myanmar, hoping to secure needed infrastructure without becoming caught up in a Chinese debt trap, has used the threat of cancellation to negotiate a reduction in the cost of its planned Kyaukpyu port from $7.3 billion to $1.3 billion.

Even China's closest partners are now wary of the BRI. In Pakistan, which has long worked with China to contain India and is the largest recipient of BRI financing, the new government has sought to review or renegotiate projects in response to a worsening debt crisis. In Cambodia, fears of effectively becoming a Chinese colony are on the rise.

The backlash against China can be seen elsewhere, too. The recent annual Pacific Islands Forum meeting was one of the most contentious in its history. Chinese policies in the region, together with the Chinese delegation leader's behaviour at the event itself, drove the president of Nauru—the world's smallest republic, with just 11,000 inhabitants—to condemn China's "arrogant" presence in the South Pacific. China cannot, he declared, "dictate things to us."

When it comes to trade, US President Donald Trump's escalating trade war with China is grabbing headlines, but Trump is far from alone in criticizing China. With policies ranging from export subsidies and non-tariff barriers to intellectual property piracy and tilting the domestic market in favour of Chinese companies, China represents, in the words of Harvard's Graham Allison, the "most protectionist, mercantilist, and predatory major economy in the world."

As the largest merchandise exporter in the world, China is many countries' biggest trading partner. Beijing has leveraged this role by employing trade to punish those that refuse to toe its line, including by imposing import bans on specific products, halting strategic exports (such as rare-earth minerals), cutting off tourism from China, and encouraging domestic consumer boycotts or protests against foreign businesses.

...Contd.

2 The backlash against China is growing

The fact is that China has grown strong and rich by flouting international trade rules. But now its chickens are coming home to roost, with a growing number of countries imposing anti-dumping or punitive duties on Chinese goods. And as countries worry about China bending them to its will by luring them into debt traps, it is no longer smooth sailing for the BRI.

Beyond Trump's tariffs, the European Union has filed a complaint with the World Trade Organization (WTO) about China's practices of forcing technology transfer as a condition of market access. China's export subsidies and other trade-distorting practices are set to encounter greater international resistance. Under WTO rules, countries may impose tariffs on subsidized goods from overseas that harm domestic industries.

Now, Chinese President Xi Jinping finds himself not only defending the BRI, his signature foreign-policy initiative, but also confronting domestic criticism, however muted, for flaunting China's global ambitions and thereby inviting a US-led international backlash.

International trade has afforded China enormous benefits, enabling the country to become the world's second-largest economy, while lifting hundreds of millions of people out of poverty. The country cannot afford to lose those benefits to an international backlash against its unfair trade and investment practices.

China's reliance on large trade surpluses and foreign-exchange reserves to fund the expansion of its global footprint makes it all the more vulnerable to the current pushback. In fact, even if China shifts its strategy and adheres to international rules, its trade surplus and foreign-currency reserves will be affected. In short, whichever path it chooses, China's free ride could be coming to an end.

Learning Space

EDITORIAL DISCUSSION

LIVE

2

Eyes on India

Japan, South Korea, Taiwan and Australia have unveiled strategies to forge closer economic ties with India

DHRUVA JAISHANKAR

Asia is in a state of flux. China's Belt and Road Initiative is reshaping the region's geography, with roads and railways traversing Eurasia and new ports dotting the Indian Ocean basin. Beijing's militarisation of the South China Sea continues, despite negotiations towards a code of conduct.

Japan has found itself in an unexpected leadership position, resuscitating the Trans-Pacific Partnership and concluding a trade agreement with the European Union. Tokyo is now contemplating constitutional revisions that would enable it to play a more overt military role.

Amid these unfolding events, another series of developments risks being overshadowed. Japan, South Korea, Taiwan, and Australia have all unveiled strategies to diversify their economic interdependence, away from mainland China and towards Southeast Asia and India.

The motivations appear to be manifold. The most recent is the ongoing trade and tariff war between the U.S. and China. A longer-term concern is Beijing's use of its economic muscle for political purposes, whether in suspending rare earth metal exports to Japan in 2010 or punishing a major South Korean corporation for Seoul's decision to install a missile defence system in 2017. China's limited market growth potential and questions of access and reciprocity are additional considerations.

To this end, Japan's Free and Open Indo-Pacific strategy is meant to diversify investments to more promising markets in Southeast Asia, India, and Africa. For his part, South Korean President Moon Jae-in has unveiled a New Southern Policy. Mr. Moon said during his visit to New Delhi that while the policy is focussed on Southeast Asia, it also "makes India Korea's key partner for cooperation". Similarly, Taiwan, a G20-sized economy whose political status is disputed, has announced a New Southbound Policy with significant accompanying investments in India by Taiwanese electronics manufacturers.

Finally, Australia's government has commissioned an ambitious India Economic Strategy with the goal of making India its third-largest investment destination and export destination by 2035. While not driven by short-term necessities, political concerns are increasingly informing economic preferences.

Politically, therefore, the stars are aligning in Asia for the acceleration of India's economic growth. Investors, increasingly backed by their governments, are increasingly focussed on the Indian market. But with more protectionist sentiments taking root, a legacy of poorly-negotiated trade deals, a general election around the corner, and uneven economic liberalisation, the likelihood of India taking full advantage of these opportunities remains slim.

THE HINDU

INDIA'S NATIONAL NEWSPAPER SINCE 1878

5th October, 2018

UPSC CSE – GS II

GS II ... International Relations

Effect of policies and politics of developed and developing countries on India's interests, Indian diaspora.

IMPORTANT QUESTION

ESSAY/ MAINS / GD / INTERVIEWS

Discuss how the mechanism of loans granted by China is different from the assistance given by the multilateral lenders like IMF and the World Bank.

OR

Examine the reasons why in recent times, countries like Australia, Japan, South Korea are looking at more trade / investment ties with countries like South-east Asia / India, than China.

SEE THE FOLLOWING INCIDENCES IN THE RECENT PAST!

1. On a recent official visit to China, Malaysian Prime Minister, Mahathir Mohamad criticized his host country's use of major infrastructure projects and difficult-to-repay loans to assert its influence over smaller countries.

2. Incidentally, Mahathir Mohamad cancelled Chinese projects worth almost $ 23 bn.

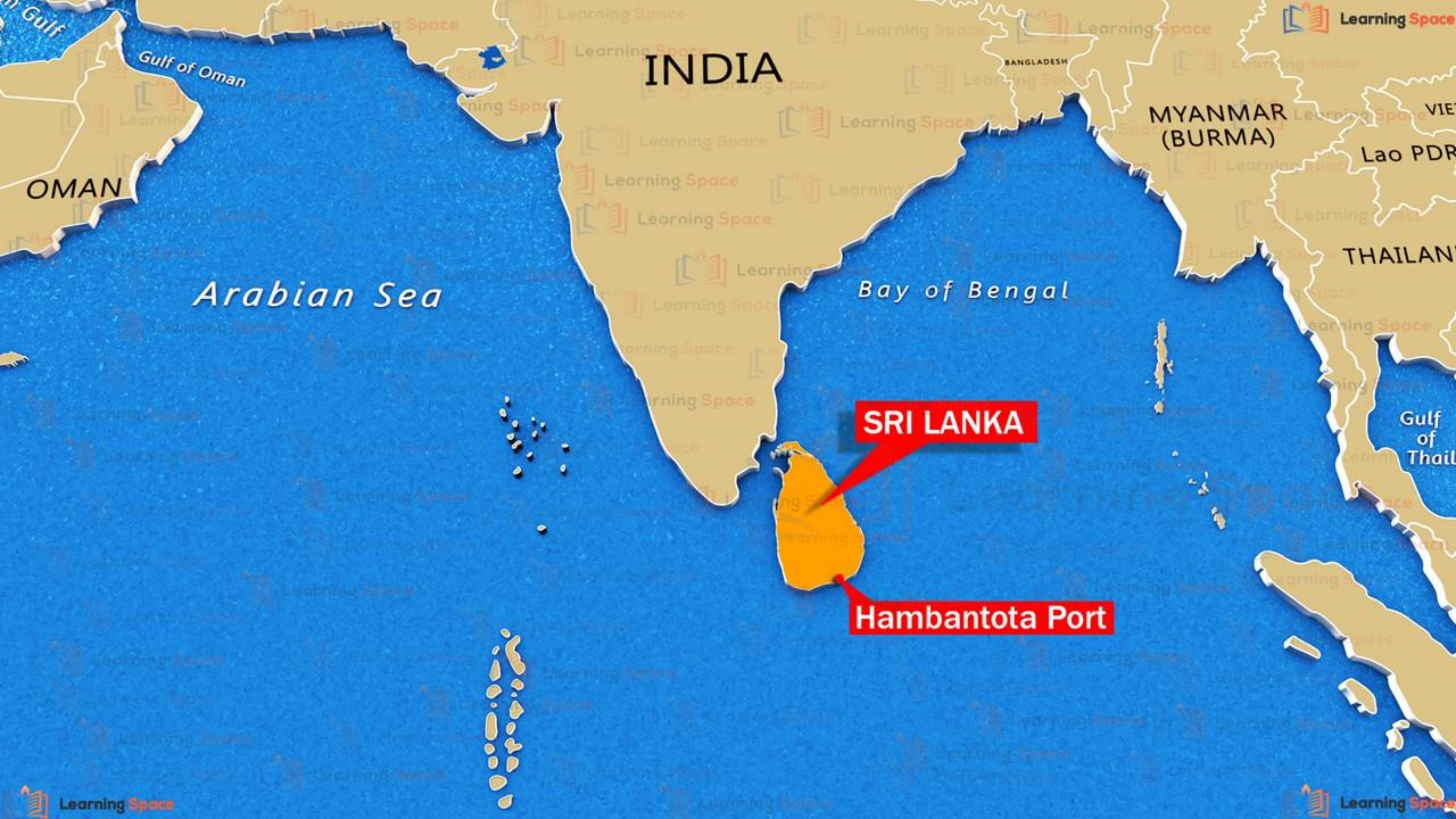
3. Under the Belt & Road Initiative, China is funding and implementing large infrastructure projects in countries around the World.

4. The basic purpose is to align their interests with its own, gain a political foothold in strategic locations.

5. Last December, Sri Lanka was compelled to transfer the Chinese-built strategic port of Hambantota to China on a 99-year, colonial-style lease, because it could no longer afford its debt payments.

6. Countries as diverse as Bangladesh, Hungary, Tanzania have canceled or scaled back BRI projects.

RUSSIA
MONGOLIA
North Atlantic Ocean
Black Sea
ALGERIA
LIBYA
EGYPT
MAURITANIA
MALI
SUDAN
CHAD
NIGERIA
ETHIOPIA
SOMALIA
KENYA
DR CONGO
TANZANIA
ANGOLA
NAMIBIA
MOZAMBIQUE
MADAGASCAR
SOUTH AFRICA
South Atlantic Ocean
Red Sea
SAUDI ARABIA
INDIA
NEPAL
Indian Ocean
Sea of Okhotsk
Sea of Japan
JAPAN
East China Sea
North Pacific Ocean
AUSTRALIA
Pakistan
China
Kyaukpyu Port
Myanmar (Burma)
Cambodia
Malaysia
Sri Lanka
Zambia
Learning Space


INDIA
BANGLADESH
MYANMAR (BURMA)
Lao PDR
THAILAND
OMAN
Gulf of Oman
Arabian Sea
Bay of Bengal
SRI LANKA
Hambantota Port
Gulf of Thail
Learning Space

SEE THE FOLLOWING INCIDENCES IN THE RECENT PAST!

7 Myanmar hoping to secure needed infrastructure without becoming caught in a Chinese debt trap, used the threat of cancellation to negotiate a reduction in the cost of its planned Kyaukpyu port from $ 7.3 bn to $ 1.3 bn.

8 Pakistan is the largest recipient of BRI financing and the new Govt. sought to review or renegotiate projects in response to worsening debt crisis.

9 In Cambodia, fears of effectively becoming a Chinese colony are on the rise.

At the recent annual Pacific Islands Forum meeting, the President of Nauru, the World's smallest republic, with just 11,000 inhabitants, condemned China's arrogant presence in the South China Sea.

WHAT ARE THE OTHER ASPECTS WHEN ONE LOOKS AT CHINA?

- Somehow managing to steal technology, either through coercion / theft.
- Manipulation of currency to facilitate exports.
- Non-transparent processes within China, which are not known to the outside World.
- Not bothering about the rule based global order, as is evident in South China Sea case.
- Huge export subsidies are given.
- Several non-tariff barriers.
- Market access in China is restricted. That's why it is "more protectionist, mercantilist and predatory major economy" in the words of Graham Allison of Harvard.

MORE ON CHINESE ACTIONS & HOW THE WORLD VIEWS IT?

1. There is a perception that, China has grown stronger and rich by flouting international trade rules.
2. Growing number of countries are imposing anti-dumping or punitive duties on Chinese goods.
3. As number of countries are worried about China bending the rules to its will by luring them into debt traps, it is no longer smooth sailing for BRI.
4. European Union filed a complaint recently with WTO about China's practices of forcing technology transfer as a condition of market access.
5. China's trade-distorting practices are set to encounter greater international resistance.

China's reliance on large trade surpluses and foreign-exchange reserves to fund the expansion of its global footprint makes it all the more vulnerable to the current pushback.

WHAT IS IN THE MINDS OF COUNTRIES LIKE JAPAN, SOUTH KOREA, TAIWAN, AUSTRALIA?

1. They are unveiling the strategies to diversify their economic inter-dependence away from Mainland China and towards South-east Asia and India.

2. The concern in these counties is, China is using its economic muscle for political purposes.

3. An example is, suspending rare Earth metal exports to Japan in 2010 or punishing a major South Korean Corporation for the decision of South Korea to install a missile defence system in 2017.

4. Japan's Free and Open Indo-Pacific strategy is meant to diversify investments to more promising markets in Southeast Asia, India and Africa.

WHAT IS IN THE MINDS OF COUNTRIES LIKE JAPAN, SOUTH KOREA, TAIWAN, AUSTRALIA?

The stars are aligning in Asia for the acceleration of India's economic growth and now it is up to India to grab this opportunity.

5 South Korea unveiled a New Southern Policy with focus on South-east Asia, along with making India Korea's key partner for cooperation.

6 Taiwan announced a New Southbound Policy with significant investments in India by Taiwanese electronics manufacturers.

7 Australian Govt. commissioned ambitious India Economic Strategy with the goal of making India, its third-largest investment destination and export destination by 2035.

WE EXPRESS OUR SINCERE THANKS FOR VIEWING THIS VIDEO

Presented by

Learning Space

For Suggestions:
suggestions@learningspace.in

To Contact us:
info@learningspace.in

OUR TEAM

G. V. Rao	Amrita Naidu
K. Srikanth	M. Binukrishna
D. Sunil Kumar	G. Ravi Babu
L. V. Krishna	D. Joji
Y. Deepthi	K. Victor Babu

Visit us at:
www.learningspacedigital.com
0866-24 44472
098499 42299